JATHNIER CORPORATION
RUBY ST., RGA VILLAGE, DACUDAO,
DAVAO CITY, PHILIPPINES.
(082) 282 2439

MEMORANDUM

February 06, 2023 **GM/FA-2023-0206-0020**

TO: **ALL SUPPLIERS**

FR: **GABRIEL L. CUAYCONG/GM – FINANCE & ADMINISTRATION**

Cc: **DLC/MGC/Audit/Operations/Supply Chain Management/AP Section/Treasury Section**

Re: **CORPORATE POLICY: ORIGINAL SALES INVOICE – FOR ROSEBAKESHOP BRANCHES OR WAREHOUSE DUPLICATE COPY OF SALES INVOICE – FOR SUPPLIER'S ATTACHEMENT TO BILLING STATEMENT.**

Moving forward to our corporate vision in business year 2023, Jathnier Corporation's direction is to implement strongly our **INTERNAL CONTROLS**, in particular the **ACCRUAL** recognition of our liabilities. This memorandum will give detail emphasis regarding Memorandum # APD Memo-2023-01-001 dtd. January 17, 2023. Issued by Jathnier Corporation AP Section/Finance Department, titled: REQUISITES ON REQUEST FOR PAYMENT.

Most of our suppliers has been our trade partner for a period of time, and continually our business relation remain in good standing. In view of this, Rosebakeshop and its trade partners (suppliers) are strengthening its internal controls in order to maintain delivery of quality products to our valued customers.

DELIVERY DOCUMENTATION POLICY

SALES OR CHARGE INVOICE – An invoice is a record of a sale or shipment made by a vendor to a customer that typically lists the customer's name, items sold or shipped, sales price, and terms of the sale. In other words, it's an itemized statement the reports the details of a sale for the buyer and seller's records.

Vendors (Suppliers) usually refer to an invoice as a sales or charge invoice because it records the sale made to the customer. Customers (Rosebakeshop), on the other hand, refer to this as a purchase invoice because it records the goods that were bought from the seller.

Invoices are also used as bills that indicate the buyer owes money to the seller for a purchase transaction. Businesses that sell goods on account to customers often give them terms to pay for the goods.

PURCHASE ORDER (PO) - Is a standard accountable form used by the company as a source document used by the purchasing department to place an order with a vendor or supplier. In other words, this is the contract that a buyer drafts to purchase goods from a seller. Take notice on the word "Contract" it has a legal attribute that binds the transaction of the buyer and the seller. This PO is the document where the vendor or seller points its reference to prepare ordered items to be delivered and to establish the point of sale to the buyer through Delivery Invoice or Sales Invoice.

RECEIVING & INSPECTION REPORT (RIR) – Is a standard receiving report form use by Rosebakeshop as part of the Internal Controls to ensure implementation of standard receiving procedure on its **Rosebakeshop branches**.

MATERIAL RECEIVING COUNT SHEET (MRCS)– Is a standard receiving report form use by Rosebakeshop as part of the Internal Controls to ensure implementation of standard receiving procedure on its **Main Warehouse**.

STANDARD PROCEDURE:

1. All vendors (suppliers) delivery must cover the following information stated therein:

   1.1. Attached Purchase Order Hard Copy with Sales/Charge Invoice stated therein PO reference.
   1.2. **ORIGINAL SALES INVOICE COPY** – given to the receiving party (Rosebakeshop).
   1.3. **DUPLICATE SALES/CHARGE INVOICE COPY** – retained by the vendor (supplier) together with the copy of RBS receiving documents for billing purposes.

2. Rosebakeshop will perform accounting method of **ACCRUAL** in recognizing its liabilities (Accounts Payable).

3. Aging of Accounts Payable is almost real time with the vendors' recognition of Accounts Receivable.
4. Liabilities is already recognize and correct Aging of Accounts Payable can be generated by Rosebakeshop Accounts Payable Section, not dependent on the Counter Billing of the Vendor (Supplier).
5. Billing of the Vendor and a monthly Statement of Accounts (SOA), every first week of the succeeding month are required to all vendors for verification, counter checking of documents and establishing veracity of the billing transaction.
6. As part of strengthening our Internal Controls and aligning our processes, the following procedure must be followed:

   6.1. Branches, Warehouse & Other Departments will not receive any deliveries without retaining the ORIGINAL SALES INVOICE COPY and correct data therein against RBS receiving report (RIR/MRCS).
   6.2. Rosebakeshop Accounts Payable Section will only recognize Original Sales Invoice and pertinent document attached, such as Purchase Order (PO), Receiving & Inspection Report (RIR)for branch deliveries and Material Receiving Count Sheet (MRCS) for Warehouse deliveries, as per policy, to initiate ACCRUAL Method of recognizing our Liabilities.
   6.3. Counter Billing & Statement of Account (SOA) will serve only as stated in #5.
   6.4. On missing documents (invoices) already recognize by our AP Section (thru accrual) a regular reconciliation activity will be done; and a certified true copy of the Invoice and receiving documents is required.

JATHNIER CORPORATE POLICY

LIABILITIES is a real account that promotes our CUSTOMER & SUPPLIER relationship, thus a full understanding of the responsibility and accountability are expected to all RBS personnel who were assigned and designated to carry this function. **The manner in implementing this directive are governed under the Jathnier Corporation's Company Code of Discipline.** As for our trade partners (Suppliers) we look forward in promoting good candor in all our business transactions.

This memorandum directive will officially take effect on **March 01, 2023**. Any clarification on this matter please communicate accordingly.

Gabriel L. Cuaycong
GM/FINANCE & ADMINISTRATION

Noted:

Melina G. Comedido
VP/Operations Director-JC